Sample Target Co.

Discounted Cash Flow Valuation & Cash Flow Analysis

Prepared by Analyst
September 03, 2026

Executive Summary

Enterprise Value	Equity Value	WACC	Terminal Growth
809.04M	**809.04M**	**10.0%**	**2.5%**

Based on a discounted cash flow analysis using a 10.0% WACC and 2.5% terminal growth rate, Sample Target Co. is valued at an enterprise value of 809.04M and an implied equity value of 809.04M.

The cash flow review identified **1 critical flag(s)** and **2 watch-item(s)** across 5 periods of historical data. Key findings are detailed in the Cash Flow Analysis section below.

Key Financial Metrics

Period	Revenue	Net Income	Op. CF	Free CF	Net Margin	ROE
FY2021	420.00M	50.00M	68.00M	48.00M	11.9%	27.0%
FY2022	468.00M	54.50M	74.00M	50.00M	11.7%	27.1%
FY2023	512.00M	46.00M	35.00M	-20.00M	9.0%	23.6%
FY2024	549.00M	58.50M	79.00M	50.00M	10.7%	23.9%
FY2025	601.00M	73.50M	98.00M	71.00M	12.2%	24.4%

Cash Flow Analysis — Period-over-Period Changes

Period	Op. CF	Op. CF %chg	Inv. CF	Fin. CF	Free CF	FCF %chg	OCF/NI
FY2021	68.00M	—	-22.00M	-31.00M	48.00M	—	1.36x
FY2022	74.00M	8.82%	-26.00M	-35.00M	50.00M	4.17%	1.36x
FY2023	35.00M	-52.7%	-58.00M	15.00M	-20.00M	-140.0%	0.76x
FY2024	79.00M	125.71%	-31.00M	-42.00M	50.00M	350.0%	1.35x
FY2025	98.00M	24.05%	-29.00M	-52.00M	71.00M	42.0%	1.33x

Flagged Changes

[WATCH] Weak earnings-to-cash conversion (FY2023)
Operating cash flow is only 0.76x net income in FY2023 — reported earnings are not translating into cash at a healthy rate.

[WATCH] Free cash flow lagging revenue growth (FY2023)
In FY2023, revenue grew 9.4% but FCF grew -140.0% (-149.4 pts gap) — check capex, working capital, or margin pressure.

[CRITICAL] Sharp free cash flow decline (FY2023)
Free cash flow fell -140.0% versus FY2022.

DCF Valuation

Assumption	Value
Projection Years	5
Revenue Growth Rate	8.0%
Assumed FCF Margin	7.8%
Historical Avg FCF Margin	7.8%
WACC	10.0%
Terminal Growth Rate	2.5%
Net Debt	0.00

Projected Free Cash Flow

Year	Revenue	Free Cash Flow	Discount Factor	Present Value
1	649.08M	50.79M	0.9091	46.18M
2	701.01M	54.86M	0.8264	45.34M
3	757.09M	59.25M	0.7513	44.51M
4	817.65M	63.99M	0.683	43.70M
5	883.07M	69.10M	0.6209	42.91M

Sum of PV of FCF	222.63M
Terminal Value	944.42M
PV of Terminal Value	586.41M
Enterprise Value	809.04M
Less: Net Debt	0.00
Equity Value	**809.04M**

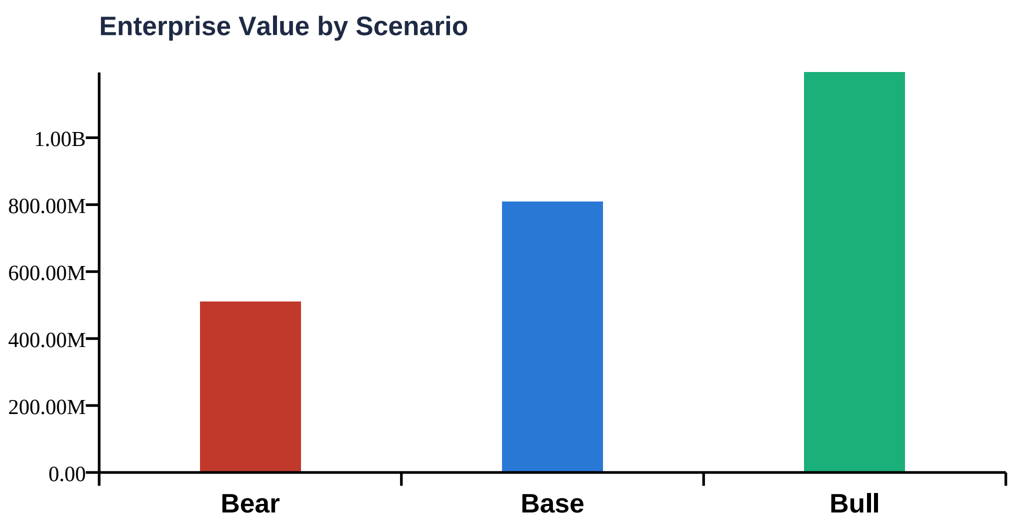
Sensitivity Analysis — Enterprise Value

WACC (rows) vs. Terminal Growth Rate (columns)

WACC \ g	1.50%	2.00%	2.50%	3.00%	3.50%
8.00%	969.56M	1.03B	1.11B	1.20B	1.32B
9.00%	836.58M	883.20M	937.00M	999.76M	1.07B
10.00%	735.01M	769.71M	809.04M	854.00M	905.86M
11.00%	654.92M	681.54M	711.29M	744.76M	782.70M
12.00%	590.17M	611.08M	634.20M	659.88M	688.58M

Scenario Analysis — Bear / Base / Bull

Revenue growth and FCF margin are flexed by ±4pts / ±2pts respectively around the base case; WACC and terminal growth are held constant so the spread isolates operating-case risk.



Metric	Bear	Base	Bull
Revenue Growth Rate	4.0%	8.0%	12.0%
Assumed FCF Margin	5.8%	7.8%	9.8%
Enterprise Value	509.88M	809.04M	1.19B
Equity Value	509.88M	809.04M	1.19B

Risk Flags & Concern Areas

[WATCH] Margin erosion (FY2023)

Net margin has declined for 3+ consecutive periods, ending at FY2023.